

A REPORT ON
INDUSTRIAL / INTERNSHIP TRAINING
UNDERTAKEN AT
KERALA GRAMIN BANK, KANNUR

Submitted in partial fulfilment of the requirements for the award of the degree of
BACHELOR OF COMMERCE (B.Com)
Kannur University

Submitted by

Register No: _____
Academic Year: 2024 - 2028

Duration :

Under the Guidance of the Department of Commerce

ITM COLLEGE OF ARTS AND SCIENCE
Mayyil, Kannur
DEPARTMENT OF COMMERCE
(Affiliated to Kannur University)

DECLARATION

I, _____, Register Number _____ a bona fide student of the Department of Commerce, ITM College of Arts and Science, Mayyil, hereby declare that this Internship Report titled “A Study on the Operations and Functions of Kerala Gramin Bank” is a record of genuine work carried out by me during my 120-day internship at Kerala Gramin Bank, Kannur, as part of the curriculum requirement for the award of the Degree of Bachelor of Commerce (B.Com) of Kannur University, for the Academic Year 2024-2028.

I further declare that this report has not been submitted previously, in part or in full, to any other University or Institution for the award of any degree, diploma, or similar title, and that the information presented herein is true and accurate to the best of my knowledge.

Place: Kannur

Date:

Signature of the Student

ACKNOWLEDGEMENT

I express my sincere gratitude to the Almighty for giving me the strength and opportunity to successfully complete my internship at Kerala Gramin Bank, Kannur.

I am deeply thankful to the Branch Manager and staff of Kerala Gramin Bank, Kannur, for permitting me to undergo this internship and for their constant guidance, patience, and support throughout the 120-day training period. Their willingness to share practical knowledge of banking operations has been invaluable to my learning.

I extend my heartfelt thanks to the Principal and the Head of the Department of Commerce, ITM College of Arts and Science, Mayyil, for their encouragement and for facilitating this internship as part of the academic curriculum.

I am also grateful to my internal faculty guide for the valuable suggestions and continuous supervision provided during the preparation of this report. Finally, I thank my family and friends for their constant motivation and support.

CERTIFICATE

This is to certify that _____, Register Number _____, a student of the Department of Commerce, ITM College of Arts and Science, Mayyil, Kannur University, has successfully completed an internship of 120 days at Kerala Gramin Bank, Kannur, during the Academic Year 2024-2028.

During the course of the internship, the candidate observed and assisted in various banking operations and displayed sincerity, discipline, and a keen interest in learning. This certificate is issued upon the successful completion of the internship period.

[Original signed certificate from the Head of the Internship Institution to be attached here]

Place: Kannur

Date:

Signature of Faculty Guide

Signature & Seal of the Bank Official

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CHAPTER 1: INTRODUCTION TO THE INTERNSHIP

1.1 Background of the Study

Internship training is an essential component of the Bachelor of Commerce curriculum, designed to bridge the gap between classroom learning and real-world professional practice. As part of this requirement, I, Abijith, a student of the Department of Commerce, ITM College of Arts and Science, Mayyil, undertook a 120-day internship at Kerala Gramin Bank, Kannur Branch, during the academic year 2024-2028.

Banking forms the backbone of any economy, and Regional Rural Banks (RRBs) such as Kerala Gramin Bank play a crucial role in extending banking services to rural and semi-urban populations, promoting financial inclusion, and supporting agricultural and small-scale enterprise credit needs. This internship provided an excellent opportunity to observe, participate in, and understand the day-to-day functioning of a rural banking institution.

1.2 Objectives of the Internship

- To understand the organizational structure and functioning of Kerala Gramin Bank.
- To gain practical exposure to core banking operations such as account opening, deposits, withdrawals, and remittances.
- To study the loan sanctioning and documentation process followed by the bank.
- To understand the Know Your Customer (KYC) norms and regulatory compliance procedures.
- To observe customer relationship management practices in a rural banking setup.
- To develop practical skills and professional work discipline through hands-on experience.

1.3 Duration and Place of Internship

The internship was carried out over a period of 120 days at the Kerala Gramin Bank branch located in Kannur. During this period, the intern was rotated across various functional counters of the branch to gain a comprehensive understanding of banking operations.

1.4 Methodology

The information presented in this report has been compiled through direct observation, hands-on participation under staff supervision, informal discussions with bank officials, and reference to internal circulars, brochures, and the official website of Kerala Gramin Bank. As the internship involved sensitive customer data, no confidential customer information has been disclosed in this report.

1.5 Scope and Limitations

The scope of this report is limited to the observations and tasks undertaken at a single branch of Kerala Gramin Bank and does not represent the operations of the bank as a whole. Certain confidential and strategic aspects of banking operations were not accessible to the intern and have therefore not been covered in this report.

CHAPTER 2: PROFILE OF KERALA GRAMIN BANK

2.1 About Kerala Gramin Bank

Kerala Gramin Bank (KGB) is a Regional Rural Bank (RRB) formed under the provisions of the Regional Rural Banks Act, 1976, with the objective of providing banking and credit facilities particularly to small and marginal farmers, agricultural labourers, artisans, and small entrepreneurs in rural areas. The bank operates under the sponsorship of a public sector bank, with equity shared between the Government of India, the sponsor bank, and the Government of Kerala.

2.2 Vision and Mission

- To act as a catalyst for rural economic development through accessible banking services.
- To promote financial inclusion by extending banking facilities to unbanked and underbanked sections of society.
- To provide efficient, customer-friendly, and technology-driven banking services in rural and semi-urban areas.
- To support agriculture, micro, small and medium enterprises (MSMEs), and self-help groups through need-based credit.

2.3 Products and Services Offered

Kerala Gramin Bank offers a wide range of products and services, including:

- Deposit schemes: Savings Bank Accounts, Current Accounts, Recurring Deposits, and Fixed Deposits.
- Loan products: Agricultural loans, Kisan Credit Cards, MSME loans, housing loans, vehicle loans, education loans, and gold loans.
- Government schemes: Pradhan Mantri Jan Dhan Yojana (PMJDY), Pradhan Mantri Suraksha Bima Yojana, Atal Pension Yojana, and other social security schemes.
- Digital banking services: RuPay debit cards, mobile banking, internet banking, and UPI-based payment facilities.
- Remittance services: NEFT, RTGS, and IMPS fund transfers.

2.4 Organizational Structure of the Branch

The branch operates under the overall supervision of the Branch Manager, supported by officers and clerical staff handling specific functional counters such as accounts opening, cash, clearing,

loans, and customer service. This hierarchical yet closely coordinated structure ensures smooth day-to-day banking operations and effective customer service delivery.

CHAPTER 3: DEPARTMENTS OBSERVED AND WORK PERFORMED

During the 120-day internship, I was rotated across various functional counters of the branch under the supervision of the respective staff members. A summary of the departments observed and the tasks performed is presented below.

3.1 Accounts Opening Department

In this department, I was introduced to the procedure of opening various types of accounts such as Savings Bank Accounts, Current Accounts, and Recurring/Fixed Deposit Accounts. I assisted staff in verifying application forms, collecting supporting documents, and entering customer details into the Core Banking System (CBS) under supervision.

3.2 KYC and Documentation

I learned the significance of Know Your Customer (KYC) norms mandated by the Reserve Bank of India. Tasks included checking the validity of identity and address proofs (Aadhaar, PAN, Voter ID), verifying photographs and signatures, and understanding the periodic KYC updation process for existing account holders.

3.3 Deposits and Withdrawals Counter

I observed and assisted with cash deposit and withdrawal transactions, cheque deposits, and the passbook printing process. This exposure helped me understand daily cash management practices, denomination handling, and the importance of accuracy and transaction vouchers in banking operations.

3.4 Clearing and Remittance Section

In the clearing section, I gained an understanding of the outstation and local cheque clearing process, as well as electronic fund transfer mechanisms such as NEFT, RTGS, and IMPS. I assisted in sorting cheques, preparing clearing schedules, and understanding settlement timelines.

3.5 Loans and Advances Department

I was exposed to the loan sanctioning process, including receipt of loan applications, verification of documents such as income proof and collateral security, credit appraisal basics, and the disbursement procedure for products like Kisan Credit Cards, gold loans, and small business loans.

3.6 Customer Service Desk

At the customer service desk, I assisted in addressing customer queries related to account balances, statement requests, ATM/debit card issues, and grievance redressal procedures. This helped me appreciate the importance of communication skills and patience in customer-facing banking roles.

3.7 Government Schemes Implementation

I observed the process of enrolling customers under various government social security and financial inclusion schemes, including Pradhan Mantri Jan Dhan Yojana, Pradhan Mantri Suraksha Bima Yojana, and Atal Pension Yojana, and understood the bank's role as an implementing agency for these schemes.

3.8 Total Duration of Engagement

The total duration of the internship engagement was 120 days, during which time was distributed across the above-mentioned departments to provide a holistic understanding of branch-level banking operations.

CHAPTER 4: LEARNING OUTCOMES

The 120-day internship at Kerala Gramin Bank proved to be an enriching learning experience. The specific learning outcomes achieved are summarized below:

- Gained a practical understanding of core banking operations including account opening, deposits, withdrawals, and remittances.
- Developed knowledge of KYC norms, regulatory compliance requirements, and their importance in preventing financial fraud.
- Understood the end-to-end loan sanctioning process, from application to disbursement, for various retail and agricultural credit products.
- Learned the operational aspects of cheque clearing and electronic fund transfer systems such as NEFT, RTGS, and IMPS.
- Acquired familiarity with Core Banking System (CBS) software used for maintaining customer accounts and transaction records.
- Improved interpersonal and communication skills through direct interaction with customers at the service desk.
- Understood the role of Regional Rural Banks in promoting financial inclusion and rural economic development.
- Developed professional work discipline, time management, and teamwork skills in a formal banking environment.
- Gained insight into the practical challenges faced by banking staff in balancing customer service with regulatory compliance.

CHAPTER 5: CONCLUSION

The 120-day internship at Kerala Gramin Bank, Kannur, has been an invaluable extension of my academic learning as a B.Com student. It provided first-hand exposure to the practical functioning of a rural banking institution and helped bridge the gap between theoretical concepts studied in the classroom and their real-world application.

Through rotation across various departments such as accounts opening, deposits and withdrawals, clearing and remittances, loans and advances, and customer service, I was able to develop a comprehensive understanding of retail banking operations. The experience also enhanced my communication skills, attention to detail, and appreciation for regulatory compliance in the financial sector.

I am grateful for the opportunity extended by Kerala Gramin Bank and my institution, ITM College of Arts and Science, to undertake this internship, and I believe the knowledge and skills gained will be of significant value in my future academic and professional pursuits in the field of commerce and banking.